

have before—except the minor advantage of a possibly broader market due to the lower price level.¹

Mergers and Segregations. Wall Street becomes easily enthusiastic over mergers and just as ebullient over segregations, which are the exact opposite. Putting two and two together frequently produces five in the stock market, and this five may later be split up into three and three. Such inductive studies as have been made of the results following mergers seem to cast considerable doubt upon the efficacy of consolidation as an aid to earning power.² There is also reason to believe that the personal element in corporate management often stands in the way of really advantageous consolidations and that those which are consummated are due sometimes to knowledge by those in control of unfavorable conditions ahead.

The exaggerated response made by the stock market to developments that seem relatively unimportant in themselves is readily explained in terms of the psychology of the speculator. He wants “action,” first of all; and he is willing to contribute to this action if he can be given any pretext for bullish excitement. (Whether through hypocrisy or self-deception, brokerage-house customers generally refuse to admit they are merely gambling with ticker quotations and insist upon some ostensible “reason” for their purchases.) Stock dividends and other “favorable developments” of this character supply the desired pretexts, and they have been exploited by the professional market operators, sometimes with the connivance of the corporate officials. The whole thing would be childish if it were not so vicious. The securities analyst should understand how these absurdities of Wall Street come into being, but he would do well to avoid any form of contact with them.

¹ In the Atlas Tack manipulation of 1933 an effort was made to attract public buying by promising a split-up of the stock, 3 shares for 1. Obviously, such a move could make no real difference of any kind in the case of an issue selling in the 30s. The circumstances surrounding the rise of Atlas Tack from $1\frac{1}{2}$ to $34\frac{3}{4}$ in 1933 and its precipitous fall to 10 are worth studying as a perfect example of the manipulative pattern. It is illuminating to compare the price-earnings and the price-assets relationships of the same stock prior to 1929.

² See, for example, Arthur S. Dewing, “A Statistical Test of the Success of Consolidations,” published in *Quarterly Journal of Economics*, November 1921 and reprinted in his *Financial Policy of Corporations*, pp. 885–898, New York, 1926. But see Henry R. Seager and Charles A. Gullick, *Trust and Corporation Problems*, pp. 659–661, New York, 1929, and *Report of the Committee on Recent Economic Changes*, Vol. I, pp. 194 ff., New York, 1929.